

Meta Platforms Inc

1Q preview: Expecting a beat, macro sensitivity & AI costs/benefits in focus

Reiterate Rating: BUY | PO: 820.00 USD | Price: 688.55 USD

Expecting 1Q beat; data suggests limited HC growth

Reports 4/29. We est. 1Q Rev/EPS of \$56.0bn/\$7.44 vs Street \$55.4bn/\$6.64. Checks suggest 1Q ad spending broadly in line with advertiser expectations, with no material spending pullbacks on ME conflict, and we are not changing estimates. We think Street expecting 1Q revenue at upper end of the guide (~\$56.5bn). Data suggests 1Q expense discipline, with job postings down 33% q/q and we expect another EPS beat. We see biggest near-term risk as macro uncertainty impacting 2Q revenue guide, or incrementally higher capex for 2026 given AI focus and infrastructure cost inflation.

Expect 2Q guide of \$57.5-\$60.5bn, unchanged expenses

For 2Q'26, we est. Rev/EPS of \$60.1bn/\$7.49 vs Street at \$59.6bn/\$7.12. Assuming 1Q at the high end of the guide & noting a 6pt tougher 2Q comp. and macro uncertainty, we expect 2Q outlook of \$57.5-\$60.5bn (+21-27%). We think Meta will leave its '26 expense range unchanged but could have opportunity to lower its outlook in future if Reuters' report on significant layoffs (10% of workforce) in May are accurate. Given Meta's recent capacity deals and layoff news, there is potential that infra investments are still increasing, & we see potential for Meta to raise the low end its of '26 Capex guide.

New Muse Spark model could help open product pipeline

The release of Muse Spark has helped clear an overhang from the stock, early data suggests meaningful improvement vs prior Meta models. We think new products built on top of the new LLM (and more advanced models to come) could enhance Meta AI query results, automated messaging, AI assistant & agentic capabilities. Key for call is commentary on new product pipeline and plans for Meta's massive infrastructure build (\$145bn including neo clouds/Blue Owl), beyond core use cases and advertising models.

Constructive on valuation and AI benefits; Reiterate Buy

We think current valuation at 20x 2027 EPS underappreciates AI benefits for the core ad business and sentiment and stock performance from here can be driven by: 1) Ad rev. upside from LLM integration, 2) Greater visibility new products built on new LLM, 3) Muse Spark improvements toward frontier LLMs, & 4) potential cost initiatives around RL and other non-AI segments. We lower our PO to \$820 (from \$885) based on unchanged 2027 EPS & lower 24x multiple (vs 26x) reflecting broader market multiple compression.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	23.92	23.49	31.24	33.65	37.69
EPS Change (YoY)	60.3%	-1.8%	33.0%	7.7%	12.0%
Consensus EPS (Bloomberg)			32.74	38.00	47.27
Consensus EPS (Visible Alpha)			29.62	34.33	39.78
DPS	2.00	2.11	2.40	2.40	2.40
Valuation (Dec)					
P/E	28.8x	29.3x	22.0x	20.5x	18.3x
Dividend Yield	0.3%	0.3%	0.3%	0.3%	0.3%
EV / EBITDA*	18.2x	15.1x	12.4x	10.4x	8.4x
Free Cash Flow Yield*	3.0%	2.6%	1.8%	2.2%	3.4%

* For full definitions of *IQmethod*SM measures, see page 15.

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Timestamp: 20 April 2026 04:21AM EDT

20 April 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	885.00	820.00

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Stock Data

Price	688.55 USD
Price Objective	820.00 USD
Date Established	20-Apr-2026
Investment Opinion	B-1-7
52-Week Range	479.80 USD - 796.25 USD
Mrkt Val (mn) / Shares Out (mn)	1,789,541 USD / 2,599.0
Free Float	99.9%
Average Daily Value (mn)	11361.25 USD
BofA Ticker / Exchange	META / NAS
Bloomberg / Reuters	META US / META.OQ
ROE (2026E)	40.6%
Net Dbt to Eqty (Dec-2025A)	22.1%

IDFA: Identifier for Advertisers
DMA: Digital Markets Act
DAP: Daily Active People
MAU: Monthly Active User
ARPP: Average Revenue per Person
RL: Reality Labs
IG: Instagram
HC: Headcount
FB: Facebook
TT: TikTok
FX: Foreign Exchange
ST: Sensor Tower
AI: Artificial Intelligence
ML: Machine Learning
Gen-AI: Generative AI
FCF: Free cash flow
Conf.: Confidence
YT: YouTube
FAI: Frontier AI
ROI: Return on Investment
FTC: Federal Trade Commission
RL: Reality Labs
NT: Near-term

iQprofileSM Meta Platforms Inc

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	34.8%	26.0%	28.4%	25.3%	23.4%
Return on Equity	43.9%	46.6%	40.6%	33.5%	29.4%
Operating Margin	53.2%	52.4%	47.7%	43.5%	41.8%
Free Cash Flow	54,072	46,109	31,868	38,701	61,556

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.2x	1.2x	1.4x	1.6x	1.7x
Asset Replacement Ratio	2.4x	3.7x	4.1x	3.0x	2.3x
Tax Rate	11.7%	29.6%	13.6%	13.5%	14.0%
Net Debt-to-Equity Ratio	2.8%	22.1%	14.9%	9.5%	1.4%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	164,500	200,965	254,002	307,801	364,406
% Change	21.9%	22.2%	26.4%	21.2%	18.4%
Gross Profit	135,397	165,987	205,903	242,000	279,326
% Change	23.3%	22.6%	24.0%	17.5%	15.4%
EBITDA	102,069	122,931	149,386	179,602	221,361
% Change	41.0%	20.4%	21.5%	20.2%	23.3%
Net Interest & Other Income	1,284	2,657	1,480	1,630	1,630
Net Income (Adjusted)	73,718	93,093	105,412	116,634	132,271
% Change	43.2%	26.3%	13.2%	10.6%	13.4%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	62,387	60,458	79,815	85,516	95,240
Depreciation & Amortization	15,498	18,616	29,352	46,717	70,341
Change in Working Capital	1,051	(885)	9,522	9,107	11,590
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	12,392	37,611	33,287	39,615	44,685
Capital Expenditure	(37,256)	(69,691)	(120,108)	(142,253)	(160,300)
Free Cash Flow	54,072	46,109	31,868	38,701	61,556
% Change	22.7%	-14.7%	-30.9%	21.4%	59.1%
Share / Issue Repurchase	0	0	0	0	0
Cost of Dividends Paid	(5,071)	(5,324)	(6,072)	(6,049)	(6,001)
Change in Debt	10,432	29,906	0	0	0

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	43,889	35,873	39,062	46,454	76,749
Trade Receivables	16,994	19,769	23,801	27,927	31,603
Other Current Assets	39,162	53,080	53,939	53,432	52,108
Property, Plant & Equipment	121,346	176,400	267,156	362,692	452,652
Other Non-Current Assets	54,663	80,899	80,959	81,019	81,079
Total Assets	276,054	366,021	464,917	571,525	694,190
Short-Term Debt	1,942	2,213	2,213	2,213	2,213
Other Current Liabilities	31,654	39,623	53,896	66,482	80,284
Long-Term Debt	47,118	81,684	81,684	81,684	81,684
Other Non-Current Liabilities	12,703	25,258	25,458	25,658	25,858
Total Liabilities	93,417	148,778	163,251	176,037	190,039
Total Equity	182,637	217,243	301,666	395,487	504,151
Total Equity & Liabilities	276,054	366,021	464,917	571,525	694,190

* For full definitions of iQmethodSM measures, see page 15.

Company Sector

Internet/e-Commerce

Company Description

Meta Platforms is the largest social network with over 3 billion monthly active users across its properties. The company generates revenue from advertising and payments, with over 95% of revenue from advertising. Meta's revenues are split at rough 50% in North America, and 50% in International markets.

Investment Rationale

Meta is an investment in increasing social and mobile Internet usage, and also offers exposure to the increasing use of AI/ML technology and potential long-term Metaverse opportunity. With the new efficiency mentality, we believe Meta is positioned for strong EPS growth when advertising environment improves.

Stock Data

Average Daily Volume 16,500,261

Quarterly Earnings Estimates

	2025	2026
Q1	6.43A	7.44E
Q2	7.14A	7.49E
Q3	1.05A	7.42E
Q4	8.88A	8.89E

1Q'26 Key Metrics

Exhibit 1: We are above Street for 1Q'26 Rev/EPS

1Q'26 Key Metrics (\$mn except per share basis)

Metric	BofA Ests.	Consensus	Comments
Total Revenue	\$56,049	\$55,451	We estimate 32% y/y growth (or down 6% q/q growth) and are above Street estimates
Advertising revenue	\$54,785	\$54,214	Our estimate represents 32% y/y growth or 28% y/y growth ex-FX (vs 23% in 4Q'25)
Reality Labs revenue	\$448	\$493	We expect 9% y/y revenue growth (vs down 12% y/y in 4Q'25) and are below Street estimates
Daily Active People (bn)	3.64	3.63	We expect 6% y/y growth (vs 7% y/y in 4Q'25) or up 2% q/q
Average Revenue per Person	\$15.28	\$15.28	We expect 24% y/y growth (vs up 18% y/y in 3Q'25)
Ad impressions growth y/y	17%	-	We estimate Ad impressions up 17% y/y growth (flat q/q) in 1Q'26 vs +18% y/y in 4Q'25
Avg. ad price growth y/y	14%	-	We estimate pricing up 14% y/y (or down 6% q/q) in 1Q'26 vs +6% y/y in 4Q'25
GAAP Total Expenses	\$34,342	\$36,154	We assume total expenses to increase 39% y/y (or down 2% q/q) vs +40% y/y in 4Q'25
EBITDA (ex. SBC)	\$33,947	\$31,026	We estimate EBITDA margins at 60.9% in 1Q'26 vs 60.2% in 4Q'25 and 60.5% in 1Q'25
GAAP EPS	\$7.44	\$6.64	We are above Street for GAAP EPS estimates
Capital expenditures	\$27,464	\$27,262	Represents 49% of revenue vs 36% in 4Q'25
Free cash flow (mn)	\$5,765	\$2,850	We are above Street for 1Q'26 FCF estimates

Source: BofA Global Research, Visible Alpha

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BofA vs Street Estimates

We estimate 1Q'26 Revenue/EBITDA of \$56.0bn/\$33.9bn vs Street at \$55.4bn/\$31.0bn and GAAP EPS of \$7.44 (vs Street at \$6.64). We estimate 2Q'26 Rev/EPS of \$60.1bn/\$7.49 vs Street at \$59.6bn/\$7.12.

For 2026, we estimate total revenues to grow 26% y/y to \$254bn, above Street at \$251bn, EBITDA of \$149bn (vs Street \$141bn), and GAAP EPS of \$31.24 (vs Street \$29.67). Primary driver of our higher EPS estimates is higher revenue growth. We have 39% y/y expense growth for 2026 to \$163bn, slightly below Street at \$164bn and company's guide of \$162-\$169bn. Our 2026 EPS includes as estimated ~\$6.5 EPS impact from RL group, and ~\$4.5 impact from Gen-AI investments.

Exhibit 2: We are above Street for 2026 Revenue and EPS

Meta Platforms Estimate Summary

	1Q'26	2Q'26	2026	2027
Total Revenue				
BofA Ests.	\$56,049	\$60,057	\$254,002	\$307,801
Y/Y (%)	32.5%	26.4%	26.4%	21.2%
Street Ests.	\$55,451	\$59,581	\$250,722	\$297,136
Y/Y (%)	31.0%	25.4%	24.8%	17.0%
BofA vs Street	Above	Above	Above	Above
EBITDA				
BofA Ests.	\$33,947	\$36,000	\$148,537	\$178,564
Margin (%)	60.6%	59.9%	58.5%	58.0%
Street Ests.	\$31,026	\$33,877	\$141,081	\$172,579
BofA vs Street	Above	Above	Above	Above
GAAP EPS				
BofA Ests.	\$7.44	\$7.49	\$31.24	\$33.65
Street Ests.	\$6.64	\$7.12	\$29.67	\$34.47
BofA vs Street	Above	Above	Above	Below

Source: BofA Global Research, Visible Alpha

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1Q'26 Preview Summary

1Q'26 Revenue & Growth Expectations

We expect 1Q Rev/EPS of \$56.0bn/\$7.44 vs Street \$55.4bn/\$6.64. We expect ex-FX ad revenue growth to accelerate 5pts q/q to 28% on a 1pt easier comp. On q/q basis, we expect a strong quarter with ad revenues down 6% q/q in 1Q'26 (vs down 13% in 1Q'25 and down 9% in 1Q'24). Based on history and recent advertising data points that have suggested less upside surprise than in prior quarters, we think buy-side could be expecting 1Q revenues at the high end of the guide at ~\$56.5bn (+34% y/y) and a beat on EPS.

Checks suggests 1Q broadly in line but uncertain macro a guide risk

Our channel checks suggest 1Q26 ad spending was broadly in line with advertiser expectations. So far, we have not learned of any meaningful budget changes related to Middle East geopolitical disruption, while eCommerce spending has accelerated during the quarter. However, sentiment remains guarded, with risk that a prolonged escalation could weigh on 2Q budgets. Specifically for Meta, checks suggest growth accelerated in 1Q (vs 4Q), supported by AI-driven improvements in targeting and measurement, and the platform continues to outperform peers.

Read across from Snap revenue preannouncement

On April 15, Snap preannounced 1Q revenue of \$1.529bn (vs Street estimates of \$1.525bn) and at the upper end of company's guide. The results suggest ad growth was broadly in line with initial expectations, which we see a positive for Meta, which has been exceeding its guidance range in recent quarters.

Users & Monetization

We estimate 1Q daily active people (DAP) at 3.64bn (vs Street 3.63bn) and average revenue per person of \$15.28 (in line with Street). Per Sensor Tower, Facebook's global DAUs were down 1% y/y (flat q/q) in 1Q'26. US DAUs were up 2% y/y (up 0.5% q/q) and int'l DAUs were down 1% y/y (flat q/q). Instagram's global DAUs were up 3% y/y (up 0.6% q/q) in 1Q'26, with US DAUs were down 1% y/y (down 1.4% q/q) and int'l DAUs up 3% y/y (up 0.7% q/q). For avg time spent per user, Sensor Tower data suggests strong growth on Instagram and stable trends on Facebook aided by Reels and AI driven content targeting improvements.

Expenses, Capex & Profitability

We estimate 1Q EBITDA of \$33.9bn (60.9% margin) and EPS of \$7.44, above Street at \$31.0bn and \$6.64 respectively. We expect 1Q COGS of \$9.5bn (vs Street \$10.8bn) and gross margin of 83.1% (vs Street 80.6%). We estimate 1Q total expense of \$34.3bn (up 39% y/y or down \$0.8bn q/q) vs Street at \$36.2bn, with D&A of \$6.1bn (vs Street \$6.2bn). We estimate 1Q Capex of \$27.5bn (vs Street \$27.3bn) and FCF of \$5.7bn (vs Street \$2.9bn).

2Q'26 Revenue outlook

For 2Q'26, we estimate Rev/EPS of \$60.1bn/\$7.49 vs Street at \$59.6bn/\$7.12. We expect ad revenue of \$58.8bn, with ex-FX revenue growth decelerating 4pt q/q on 2pt tougher y/y comp. On a q/q basis, we expect 2Q ad revenue growth of 7% (vs +12% q/q in 2Q'25 and +8% q/q in 2Q'24). Assuming Meta reports 1Q at the high end of the guidance range (at \$56.5bn) and adding some extra conservatism due to geopolitical uncertainty, we expect an outlook that bracket our estimates, with a low end at \$57.5bn (up 21% y/y or +3% q/q) and high end at \$60.5bn (up 27% y/y or +8% q/q). An evolving geopolitical situation in Middle East driving elevated oil prices (and impact on consumer spending), EU changes (personalization opt out), and TikTok competition are modest risks to q/q growth trends.

Expect unchanged expense guide

Additional headcount management in 1Q (see next section) suggests that Meta continues to manage expenses around growing infrastructure needs. Meta guided FY26 expenses of \$162-\$169bn (up 38-44% y/y) and we expect this outlook to be relatively unchanged (possibly narrowed). On 4Q'25 earnings call, Meta indicated intention to grow operating profit y/y in 2026, and has lowered expense guidance in prior years, so we would expect expense guidance to be adjusted lower if macro headwinds emerge.

Meta continues to take action to manage total expenses via headcount actions. Job postings data indicates that the average number of job openings declined 33% q/q in 1Q (vs down 16% in 4Q). Press reports from late March indicated that Meta made another round of layoffs across several divisions, and a recent report from Reuters suggests another 10% headcount reduction in May is possible. We think full year headcount is likely to come in lower than BofA and Street estimates, and Meta may have opportunity to lower its expense guide in future quarters.

FY26 capex likely to skew higher on capacity constraints

Meta guided FY26 capex of \$115-\$135bn and we do not expect the pace of AI infrastructure investment to slow in the near term given industry-wide compute capacity constraints. Meta recently signed a deal with CoreWeave for additional capacity (adding \$21mn through 2032), and we think there is potential that Meta raises the lower end of the 2026 capex guide, driven by higher memory prices and continued internal model improvement opportunities driven by ongoing chip upgrades.

New LLM could strengthen products and ad performance

In early April, Meta introduced Muse Spark, the inaugural LLM from Superintelligence Labs. Muse Spark is a closed model and Meta noted it represents an initial step in the company's AI roadmap, with multiple advanced models currently in development. Meta indicated that improvements to model architecture, optimization, and data curation make Muse Spark significantly more efficient than the leading base models, reducing capacity needs. We think the new model should help enhance Meta's AI capabilities & positioning across both consumer and enterprise offerings. New products built on top of the new LLM could enhance query results, automated messaging, enable agentic capabilities across commerce verticals, and eventually improve multimodal tools for developing AI-generated video. Meta has outlined a roadmap for materially improved LLM capabilities over the course of the year, suggesting scope for iterative performance gains across upcoming model releases. We note Google saw a meaningful improvement in sentiment following strong progress with Gemini 3.0 and Meta could be on a similar trajectory over next 12 months if model performance continues to improve.

Potential 1Q call positives could include:

Revenue

1. 1Q ad revenue upside and 2Q revenue guidance at or above the high end of Street expectations helping clear up any macro uncertainty, and suggesting accelerating AI-driven gains in engagement and targeting,
2. Commentary suggesting accelerating monetization across newer surfaces, including WhatsApp ads, Threads, etc.,
3. Commentary suggesting manageable revenue impact from EU-related business model changes.

Expenses / Margins

4. Lower FY26 expense outlook, or commentary suggesting certain FY26 investments are non-recurring,
5. Positive commentary on infrastructure efficiency gains (declining cost per compute unit) helping address concerns on FY27 expenses and capex,



Product / AI / Other

6. Updates on AI roadmap with details on more advanced LLM launches, including timing, capabilities, and product integration,
7. Commentary suggesting added capacity and Meta's new internal LLM capabilities will enable new business models including consumer subscriptions, AI video sharing or a potential SaaS opportunity (business chatbots, automated customer service, or agentic AI solutions),
8. Greater visibility on product pipeline which should leverage LLM advances and significant 2026 capacity build.

1Q'26 risks include:**Revenue**

1. In-line (or miss) on 1Q ad revenues or softer-than-expected 2Q guide due to macro pressures,
2. Higher-than-expected revenue headwind in the EU from less personalized ads in EU,

Expenses / Margins

3. Higher than expected depreciation expense growth, or lower y/y gross margins in 1Q, impacting future margin expectations,
4. Upward revisions to 2026 Capex outlook, raising additional concerns on future margins and EPS growth trajectory,
5. Commentary suggesting increasing regulatory costs or higher legal reserves in 1Q, possibly relating to teen user protections.

Product / AI / Other

6. Limited incremental disclosures on AI monetization pathways or new products, raising questions on timeline and magnitude of returns on elevated AI infrastructure investments,

On 1Q earnings call, we expect questions on:**Revenue**

1. QTD revenue trends and impact from evolving geopolitical situation,
2. Sustainability of AI-driven improvements in ad targeting and engagement, and expected contribution to core ad revenue growth in 2026,
3. Revenue and engagement impact from the EU targeting changes,

Expenses / Margins

4. Drivers of any change in 2026 Opex and capex outlook and expected return on incremental AI capacity,
5. New cloud (Nebius, Coreweave) and chips deals (AMD) and potential impact on Opex / Capex,
6. Role of third-party cloud partnerships in supporting capacity needs and cost flexibility,
7. Potential for AI-related cost efficiencies (coding, etc.) and impact on 2026/2027 expenses,
8. Deployment timeline & cost efficiency benefits of MTIA custom chips,

Product / AI / Other

9. Required scale of AI capex relative to hyperscalers and implications for capital intensity,
10. Implications of the recent jury trial related to teen users, including potential impact on product design, compliance requirements, algorithm transparency, etc.,

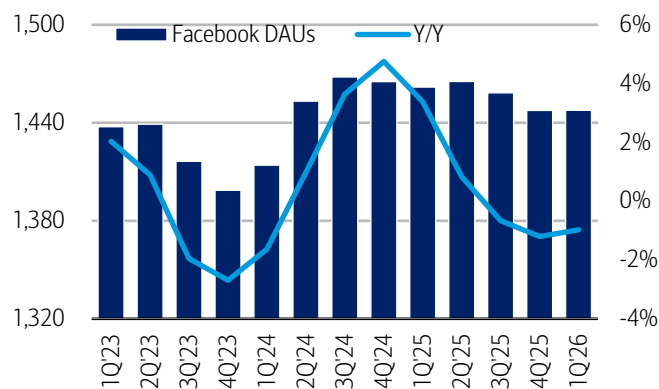
11. Launch timelines and capabilities of more advanced frontier models in development.

User Trends

Per Sensor Tower, Facebook's global DAUs were down 1% y/y (flat q/q) in 1Q'26. US DAUs were up 2% y/y (up 0.5% q/q) and Int'l DAUs were down 1% y/y (flat q/q). Instagram's global DAUs were up 3% y/y (up 0.6% q/q) in 1Q'26, with US DAUs were down 1% y/y (down 1.4% q/q) and Int'l DAUs were up 3% y/y (up 0.7% q/q).

Exhibit 3: Facebook global DAUs were down 1% y/y in 1Q'26

Facebook Global DAU Trend (mn, %)

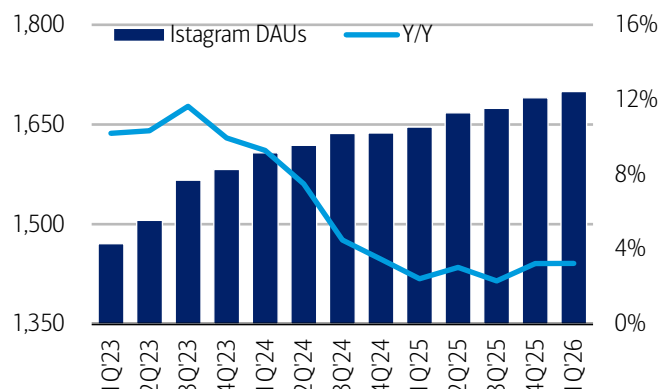


Source: Sensor Tower

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Exhibit 4: Instagram global DAUs were up 3% y/y in 1Q'26

Instagram Global DAU Trend (mn, %)



Source: Sensor Tower

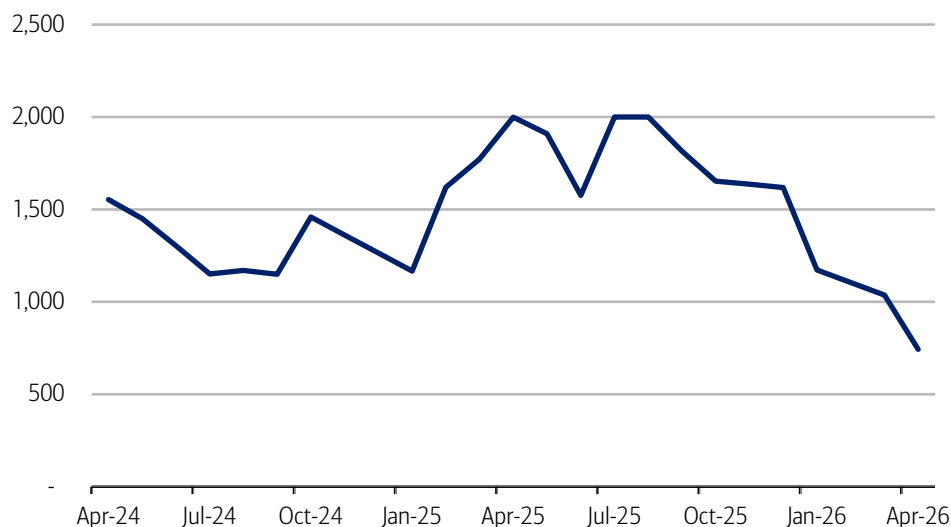
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Meta Job Postings

Meta job postings data from Meta Careers website indicates that average number of job openings declined 33% q/q in 1Q (vs down 16% in 4Q). We expect 1Q'26 headcount up 6% y/y (up 3% q/q) to 81,164 (vs Street 80,617, up 5% y/y). We think headcount could come in lower than our and Street estimates. Our review of job postings indicates a focus on AI data and analytics, data center operations, & infrastructure roles.

Exhibit 5: In 1Q, avg. number of opening were down 33% q/q

Meta Global Job Postings



Source: Meta Careers

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Currency Update

In 4Q'25, Meta generated 44% of revenue in US/Canada, 24% in Europe, 19% in Asia, and 13% in RoW, and has exposure to the Euro, GBP, Yen, and Australian dollar, among others. Since Meta reported 4Q'25 results on 1/28, the Euro/US\$ has depreciated 2% to \$1.18 from \$1.20, the UK Pound/US\$ has depreciated 2% to \$1.35 from \$1.38, and the Yen/US\$ has depreciated 4% to \$0.0063 from \$0.0066. On a Y/Y basis, for 1Q'25, the Euro was up 11% vs the US\$, the GBP was up 7%, the Yen was down 3%, and other currencies in the basket we track were up 9% y/y. For total revenue, Meta guided to 4pts FX tailwind in 1Q'26 (we don't expect any material difference) and we expect 2pts FX tailwind in 2Q'26, which is slightly above the potential benefit from current exchange rates (see table below).

Exhibit 6: We estimate approx. 4pt FX tailwind in 1Q'26 and 2pts tailwind in 2Q'26

Expected Y/Y % change in spot rates based on current rates

	Y/Y Change			
	<u>Euro</u>	<u>GBP</u>	<u>Yen</u>	<u>Other</u>
3Q25	6%	4%	1%	3%
4Q25	9%	4%	(1%)	6%
1Q26	11%	7%	(3%)	9%
2Q26E	4%	1%	(9%)	7%
3Q26E	1%	0%	(7%)	4%
4Q26E	1%	2%	(3%)	4%
1Q27E	1%	1%	(1%)	3%

Source: Bloomberg; *Other includes the following: Asian (KRW, AUD, HKD, INR, CNY), Europe (SEK, CHF)

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Valuation

PO Change: We are lowering our PO to \$820 (from \$885) based on unchanged 2027 GAAP EPS and lower 24x multiple (vs 26x prior), reflecting multiple compression in the broader market.

At ~\$689, Meta is trading at 20x our 2027 GAAP EPS estimate. On Price/FCF basis, the stock is valued at 45x. However, if we back out ~\$6.35 in EPS in estimated 2027 Metaverse losses, we get to an adjusted valuation at 17x 2027 GAAP earnings below the S&P 500 at 20x (assuming \$345 in 2027 S&P EPS).

Exhibit 7: Meta is currently valued at 20x our 2027 GAAP EPS estimate

Meta sum-of-the-parts analysis

2027E Sum of Parts P/E		
\$mn, except per share data		
Stock Price	\$689	Comments
+ Net Cash (YE'26)	\$26,037	
+ Facebook Reality Labs	\$0	Taking a conservative view, we assume no value for Reality Labs
Total Adjustments	\$26,037	
Diluted shares (YE'26)	2,555	
Total Adjustments per share	\$10	
Adjusted stock price for cash	\$679	
2027E non-GAAP EPS	\$45.89	
FB core Adjusted non-GAAP EPS (ex-Facebook Reality Labs)	\$52.58	Adding back \$21bn in losses and assuming a 14% tax rate
2027E GAAP EPS	\$33.65	
FB core Adjusted GAAP EPS (ex-Facebook Reality Labs)	\$40.66	Adding back \$21bn in losses and assuming a 14% tax rate
2027 FCF/Share	\$15.15	
Current GAAP 2027E P/E	20x	
Core FB Adjusted GAAP 2027E P/E	17x	
Current GAAP 2027E ex-cash P/E	20x	
Price/FCF	45x	

Source: BofA Global Research estimates

Exhibit 7: Meta is currently valued at 20x our 2027 GAAP EPS estimate

Meta sum-of-the-parts analysis

BofA GLOBAL RESEARCH

Current vs historical averages

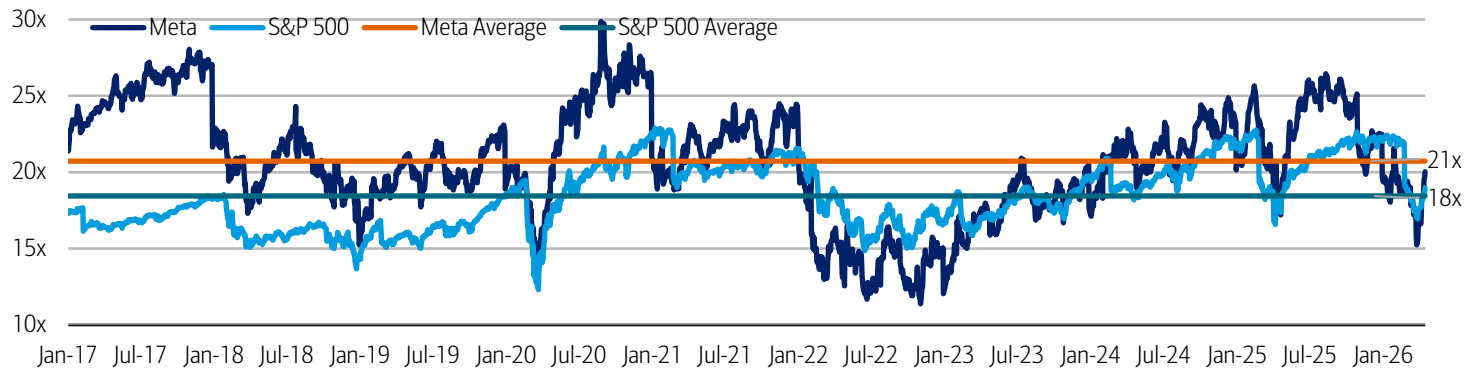
At ~\$689, Meta is valued at 20x our 2027 GAAP EPS estimate. We see current valuation as attractive given large AI opportunity, above industry ad growth, and strong financial position for AI. We see a constructive product catalyst path ahead, including improving LLM capabilities and new consumer products.

2yr Forward GAAP P/E Multiple

At stock price of ~\$689, Meta stock is currently valued at 20x Street 2yr forward GAAP P/E, approx. 3% discount to the historical average of 21x since 2017.

Exhibit 8: Meta is valued at a 2yr forward GAAP PE multiple of 20x (3% discount to its historical average since 2017)

Meta 2yr Forward GAAP PE (2017 – Present)



Source: Bloomberg

BofA GLOBAL RESEARCH

1Q product & company news**Meta could layoff 10% workforce on May 20**

On 4/17, Reuters reported that Meta plans to begin a new round of layoffs on May 20, targeting about 10% of global workforce (or roughly 8,000 employees), with additional reductions expected later in the year. The report noted while further cuts are planned for 2H, the exact timing and magnitude have not yet been determined. The restructuring is aimed at a broader push to streamline operations and increase reliance on AI-driven productivity tools, enabling smaller teams to perform work previously handled by larger groups. *Our Take:* Assuming a marginal average cost per employee of ~\$400-500K, potential restructuring could yield ~\$3-4bn in annualized savings, which could help offset part of the ~\$45bn in GAAP expense growth in our 2026 model. For now, we do not expect Meta to materially reduce its FY26 expense guide of \$162-\$169bn, though we view the report as signaling ongoing cost discipline and does leave room to lower the expense guide in future quarters.

Meta debuts new LLM, Muse Spark

In early April, Meta introduced Muse Spark, the inaugural LLM from Superintelligence Labs. Muse Spark is a closed model and Meta noted it represents an initial step in the company's AI roadmap, with multiple advanced models currently in development. Meta indicated that improvements to model architecture, optimization, and data curation make Muse Spark significantly more efficient than the leading base models, reducing capacity needs. New products built on the new LLM could enhance query results, automated messaging, enable agentic capabilities across commerce verticals, and eventually improve multimodal tools for developing AI-generated video. Meta has outlined a roadmap for materially improved LLM capabilities over the course of the year, suggesting scope for iterative performance gains across upcoming model releases. We note Google saw a meaningful improvement in sentiment following strong progress with

Gemini 3.0 and Meta could be on a similar trajectory over next 12 months if model performance continues to improve. See our note: [A big first step in Meta's new LLM rollout](#).

Meta plans to launch open source LLMs after proprietary version

Press reports from early April indicated that Meta plans to release open-source versions of its upcoming AI models as part of a hybrid strategy balancing broad developer access while maintaining proprietary competitive advantages. The company plans to initially launch more capable proprietary versions, followed by open-source variants that may exclude certain features or operate at reduced scale to address safety and competitive considerations. *Our Take: We think Meta's hybrid approach is largely in line with broader industry strategy, where leading AI companies have released select open models (e.g. Google's Gemma, OpenAI gpt-oss) to drive adoption and developer engagement, while keeping their most advanced models closed to preserve competitive advantage and monetization potential.*

Meta signs \$21bn infrastructure deal with CoreWeave

In early April, Meta signed a \$21 bn expanded AI infrastructure agreement with CoreWeave, extending the partnership through 2032. Under the deal, Meta will leverage CoreWeave's AI-optimized cloud platform to scale large-scale inference workloads. The dedicated capacity will be deployed across multiple locations and will include some of the initial deployments of the NVIDIA Vera Rubin platform. *Our Take: In our view, the deal suggests a sustained elevated capex and infrastructure cost trajectory, and that third party infrastructure spend will continue to be additive to Meta's own capex spend.*

Meta signs a multi-year AI infrastructure deal with AMD

In late Feb, Meta announced a multi-year AI infrastructure partnership with Advanced Micro Devices (AMD) to help expand data center compute capacity. The deal reportedly covers up to 6 GW of AMD Instinct GPU capacity, with initial deployments expected in 2H'26 and total potential spend estimated in the tens of billions (some reports suggest that the deal could be worth more than \$100bn). As part of the agreement, AMD has granted Meta a performance-based warrant for up to 160mn shares of AMD common stock. The warrant vests in tranches tied to Instinct graphics processing unit (GPU) shipment milestones, with the first tranche triggered upon delivery of the initial 1 GW and additional tranches vesting as Meta scales purchases toward 6 GW. Vesting is also subject to AMD meeting specified stock price thresholds, while exercise is contingent on Meta achieving defined technical and commercial milestones. *Our take: we think positives of the deal include 1) supplier diversification, 2) potential economic upside from warrants, and 3) locking in supply for infra build. Risks include: 1) Suggests higher capital intensity for longer, 2) risk over technology transition, and 3) potential pressure on margin. See our note: [Signs a multi-year AI infrastructure agreement with AMD](#).*

Meta eliminates several roles across different organizations

On 3/25, Meta reportedly laid off several hundred employees across several different organizations within the company, including Reality Labs, Facebook, global operations, recruiting, and sales. A Meta spokesperson stated "Teams across Meta regularly restructure or implement changes to ensure they're in the best position to achieve their goals. Where possible, we are finding other opportunities for employees whose positions may be impacted". Earlier in the month, Reuters had reported that Meta was considering a broader restructuring that could affect approximately 20% of the workforce, potentially impacting 15,000 to 16,000 roles. The report indicated that the planned reductions were intended to help offset rising infrastructure costs associated with increased investments in AI and data center expansion. *Our Take: The scale of layoffs appears significantly smaller than Reuters' earlier estimates and seem consistent with planned organizational restructuring (vs a reaction to any macro factors). Employee actions suggest Meta remains focused on cost management as infrastructure expenses increase. See our note: [Meta layoffs in the news](#).*

Meta acquires Moltbook, a social network for AI agents

In March, Meta acquired Moltbook, a viral social network built for AI agents. The transaction will bring Moltbook's creators, Matt Schlicht and Ben Parr, to Meta Superintelligence Labs. Launched in early 2026, Moltbook operates as a Reddit-style platform (for postings and upvotes) where 1.75mn (per Mashable) autonomous AI agents interact, exchange tasks, and communicate with one another. The detailed terms and purchase price of the deal were not disclosed, and the transaction is expected to close in mid-March. *Our Take: The deal suggests Meta views AI agents as expansionary and constructive for digital interaction (interactions between agents and users could generate new content and intent signals). However, we think important guardrails would need to be established to reduce clutter and protect the integrity of Meta's social networks. We see biggest potential utility for Meta's Treads app. See our note: [Meta acquires Moltbook](#).*

Meta strengthens in-app commerce with new features

At ShopTalk (on 3/24), Meta announced new features designed to strengthen in-app commerce ecosystem. Key announcements included: 1) Expanded affiliate program to include additional partners, including Amazon, eBay and Temu in the US, Mercado Libre in Latin America, and Shopee in Asia, with plans to test similar affiliate integrations on Instagram this spring, 2) Linked products in Instagram Reels allowing creators to tag products directly from brand catalogs or via product links within Reels, 3) Enhanced product discovery, an AI powered feature that surfaces reviews, brand information, discounts and recommendations to help users make more informed purchase decisions after clicking ads, 4) New Checkout Experience, a one tap "Buy Now" checkout experience, integrated with partners such as PayPal and Stripe to complete purchases directly from ads, and 5) New retail media tools that support product level campaign optimization and improved performance measurement. *Our Take: The features should improve signal density and closed loop attribution and move Meta closer to offering Agentic commerce capabilities. For eCommerce advertisers, these enhancements should increase measurement & ROAS, driving incremental performance & retail media ad spend. See our note: [Meta at Shoptalk](#).*

Meta testing new AI shopping feature in chatbot

Per Bloomberg, Meta is testing a new shopping research feature in its AI chatbot that provides personalized product suggestions. Currently available to select US users via the Meta AI web browser, the feature displays carousels of product images along with brand, price, and website information, accompanied by brief bullet-point explanations. Recommendations are tailored using inferred signals such as gender, location, etc. While the tool does not yet support in-chat checkout, users can click on merchant links to complete purchases. *Our Take: We think the new AI shopping feature is an early step and evolve into a fully integrated, AI-driven commerce ecosystem. The tool lays the groundwork for personalized, automated shopping experiences that could eventually combine product recommendations, transactions, and advertising to drive engagement and monetization. Over the medium term, we also see potential for the feature to enable agentic transactions across Meta surfaces, where the AI actively recommends, guides, and facilitates purchases on behalf of users.*

Meta testing new tools to enhance retail media offering

According to Adweek, Meta is testing two new ad tools to enhance retail media performance capabilities & strengthen product-level performance attribution. The first tool, 'product set optimization', allows retail media networks to optimize campaigns at the individual SKU level, addressing prior limitations in Meta's ad algorithms. The tool enables easier creation of product catalogs, with Meta recommending more than 100 SKUs per catalog. The second tool, 'product insights', measures whether SKU-level ads directly drove sales and tie the performance back to specific brands and products. *Our Take: SKU-level optimization and attribution should strengthen Meta's value proposition to CPG brands and move the platform closer to point-of-sale measurement, narrowing the capability gap versus Amazon and Walmart Connect. While the benefit of each individual*



product improvement is hard to quantify, important innovations continue driving confidence in medium-term growth. See our note: [Meta testing new tools to enhance retail media offering](#).

Meta plans new in-house AI chips to power future workloads

In mid-March, Meta announced plans to deploy four custom in-house chips to support the company's growing computational needs. The company outlined a roadmap under its Meta Training and Inference Accelerator (MTIA) program, with the first chip already deployed for recommendation systems and subsequent versions focused on inference workloads. Meta expects to introduce new chips approximately every six months through 2027, alongside continued infrastructure investment. The upcoming chips are designed to support more advanced generative AI inference tasks, such as creating images and videos from user prompts, and are not intended for training large language models.

Meta signs \$27bn compute deal with Nebius

In mid-March, Meta entered into an agreement to spend up to \$27bn over five years on Nebius' AI infrastructure. Under the arrangement, Nebius will provide \$12bn of dedicated capacity across multiple locations, utilizing one of the earliest large-scale deployments of Nvidia's Vera Rubin platform, with delivery expected to begin in early 2027. In addition, Meta has committed to purchase further compute capacity from planned Nebius clusters, potentially bringing the value of this portion of the commitment to \$15bn over five years. Meta previously signed a \$3bn contract with Nebius in Nov'25.

Meta CEO developing AI agent to support decision-making

Per WSJ, Meta CEO is developing an AI agent designed to assist with executive management tasks, including strategic analysis and internal coordination. Per the report, the agent is designed to allow the CEO to access information more quickly than traditional channels, bypassing layers of staff and reducing the need for multiple emails or meetings. The tool can query internal systems and team data to provide synthesized answers to questions that would otherwise require coordination across several groups. The project is still in development but is operational as an on-demand interface for company knowledge.

Meta launches Manus AI tools for advertisers

In March, Meta began rolling out Manus AI within its Ads Manager platform. Meta had acquired Manus in Jan'26 and the company builds AI agents that can undertake tasks on users' behalf, including coding, market research and data analysis. Early integration focuses on analytical assistance rather than autonomous campaign execution. In Ads Manager, Manus will be able to analyze ad performance and offer actionable recommendations on how to improve ads approach. On Instagram's Creator Marketplace, Manus will be able to evaluate creator and audience alignment to help businesses identify the best partners for their marketing objectives.

Meta to allow rival AI chatbots on Whatsapp in Europe

In early March, Meta said it would allow AI companies to offer their chatbots on WhatsApp via its business API for the next 12 months in Europe. Meta says it will allow general-purpose AI chatbot providers to offer their services on WhatsApp for a fee, which ranges from €0.0490 to €0.1323 per "non-template message," depending on the country. The move comes a month after the European Commission told Meta that it intended to impose interim measures in order to stop the company from implementing its policy, which barred third-party AI chatbot providers from using the WhatsApp Business API to offer their services on the app.

Meta establishes new Applied AI engineering organization

In early March, Meta announced plans to create a new Applied AI engineering organization focused on accelerating product development using Gen-AI technologies. According to WSJ, the new unit will partner with the company's Superintelligence Lab

and will focus on translating research into commercial applications across Meta's platforms. The new organization will include a team responsible for building interfaces and tooling, and another team focused on executing tasks, generating data and providing evaluations for the modeling teams.

Meta expands use of AI for content moderation

In mid-March, Meta announced rollout of more advanced AI systems to strengthen content enforcement and reduce reliance on third-party vendors. The tools are designed to identify and remove content related to terrorism, child exploitation, drugs, fraud, scams, etc. Meta plans broader deployment once performance of these consistently exceeds existing methods. The company noted early tests indicate the AI reduces error rates by over 60% and improves detection of impersonation accounts and potential account takeovers.

Meta adjusting custom silicon efforts, and potential TPU deal with Google

Per The Information, Meta has halted development of its most advanced custom AI training chips after running into persistent design and technical hurdles. The company abandoned one iteration of its second-generation training chip, internally code-named Iris, before shifting focus to a more advanced successor known as Olympus, which has now also been discontinued. The decision was reportedly intended to reduce costs and improve control over infrastructure roadmap. The report also suggested that the company is pivoting its hardware strategy toward external suppliers and has signed a multi-billion-dollar deal to rent Google TPUs to develop new AI models. Earlier this month, Meta also expanded its partnerships with AMD and Nvidia. *Our Take: In the absence of advanced custom silicon, we believe a multi-vendor infrastructure strategy enhances flexibility and should deliver cost efficiencies. Challenges Meta has faced with custom silicon and deal with Google also underscore the value of Google's TPU technology, and potential for Amazon's Trainium. See our note: [Meta Google TPU deal](#).*

Meta's \$27bn Hyperion JV draws auditor scrutiny

Per WSJ, Meta's auditor Ernst & Young raised concerns about the financial structure used to keep the \$27bn Hyperion data-center project off Meta's balance sheet. While EY ultimately approved the accounting treatment, it flagged the transaction as a "critical audit matter." EY noted that auditing Meta's decision was "especially challenging due to the significant judgment required in determining the activities that most significantly affect the VIE's economic performance." Meta's JV with Blue Owl to fund Hyperion data center is structured as a variable interest entity, and Meta has stated that it is not the "primary beneficiary," and therefore did not consolidate the venture's assets and liabilities onto its balance sheet. In the recent 10-K, Meta disclosed its maximum exposure to loss related to the Venture was \$45.95bn as of end of Dec'25. *Our Take: Uncertainty on the Blue Owl data center commitments/obligations has added some investor unease, particularly given the scale and long-dated nature of these obligations. We didn't see any mention of the transaction in Meta's 10k. See our note: [Meta draws financing scrutiny](#).*

Meta testing a standalone AI video generation, Vibes app

Per TechCrunch, Meta is testing a standalone AI video generation app Vibes. The new app enables users to generate and share videos with AI, and it has a feed that show generated videos from other users. Per Meta, the video generation features drove users to 'increasingly lean into the format to create, discover, and share AI-generated videos with friends. The standalone app provides a dedicated home for that experience, offering people a more focused and immersive environment'. Separately, per Business Insider, the company is testing a standalone app for sending disappearing photos, which is similar to Snapchat's feature.



Price objective basis & risk

Meta Platforms Inc (META)

Our \$820 price objective is based on 24x 2027E GAAP EPS, plus net cash. On a total company basis, including Metaverse investments, our valuation is at a slight premium to S&P 500 given Meta's higher growth rate and AI opportunity. Historically, Meta has traded at an average premium of 3pts to S&P 500.

Downside risks include: 1) Significant dependence on digital advertising revenue, which remain highly sensitive to macroeconomic conditions, 2) Elevated spend on AI initiatives that could negatively impact margins, 3) Growing base of fixed assets could reduce cost flexibility in a macro downturn, 4) Slowing pace of share repurchases with significant AI investments, 5) Intensifying competition for user engagement and advertising budgets from AI-native platforms, and 6) Elevated regulatory overhang from new teen safety cases or unfavorable outcomes in ongoing litigation.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	DoorDash	DASH	DASH US	Justin Post
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Ethos	LIFE	LIFE US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Global Business Travel Group, Inc.	GBTG	GBTG US	Nafeesa Gupta
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Snap	SNAP	SNAP US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post
	Unity	U	U US	Omar Dessouky, CFA
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA

UNDERPERFORM

	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	Vivid Seats	SEAT	SEAT US	Steven McDermott
	Yelp	YELP	YELP US	Nitin Bansal, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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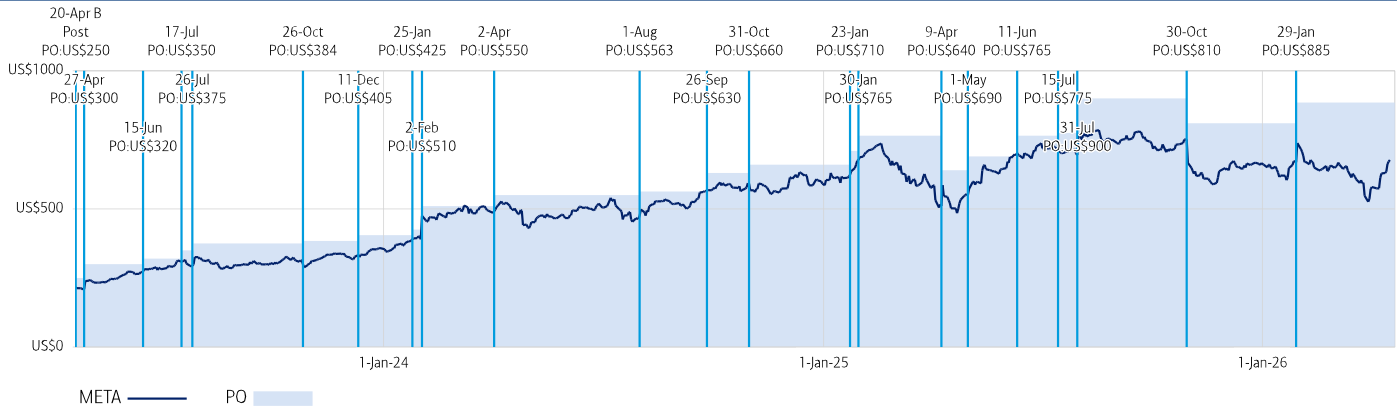
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Disclosures

Important Disclosures

Meta Platforms (META) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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